ARIZONA HOUSE OF REPRESENTATIVES
FLOOR AMENDMENT EXPLANATION
57th Legislature, 2nd Regular Session
Majority Research Staff

SB 1270: correctional officers; supplemental contributions

LIVINGSTON FLOOR AMENDMENT

1. Requires the supplemental contribution incentive payment be limited to $5,000 per participant per *employment or service interval*, rather than per *year*, over a five-year graded vesting schedule.

AI
4/27/2026
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ADDITIONAL COW
LIVINGSTON FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1270
(Reference to House engrossed Senate bill)

Amendment instruction key:
[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.
[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

The bill as proposed to be amended is reprinted as follows:

Section 1. Section 38-867, Arizona Revised Statutes, is amended to read:

38-867. Contributions; member; employer; pickup

A. Each participant in the defined contribution plan shall contribute the following percentage of the participant's gross pensionable compensation by salary reduction that shall be deposited in the participant's annuity account:

1. For a participant as defined in section 38-865, paragraph 7, subdivision (a), item (ii), three percent.

2. For a participant as defined in section 38-865, paragraph 7, subdivision (a), item (i), nine percent.

3. For a participant as defined in section 38-865, paragraph 7, subdivision (b), seven percent.

B. A participant as defined in section 38-865 may make a onetime irrevocable election, before the participant is eligible to participate in any qualified plan of the employer, to contribute more than the percentage of the participant's gross pensionable compensation specified in this section, up to the amount allowable under section 415(c) of the internal revenue code. A participant as defined in section 38-865, paragraph 7, subdivision (b) may make a onetime irrevocable election, before the participant is eligible to participate in any qualified plan of the employer, to contribute less than the percentage of the participant's gross pensionable compensation specified in this section but may not elect to contribute less than five percent of the participant's gross pensionable compensation. The election made pursuant to this subsection shall be the participant's contribution rate for the remainder of the participant's employment.

C. Although designated as employee contributions, all participant contributions made to the defined contribution plan shall be picked up and paid by the employer in lieu of contributions by the employee. The contributions picked up by an employer may be made through a reduction in the participant's compensation. A participant in the defined contribution plan may not choose to receive the contributed amounts directly instead of the employer paying the amounts to the defined contribution plan. All participant contributions that are picked up by the employer as provided in this subsection shall be treated as employer contributions under section 414(h) of the internal revenue code, shall be excluded from the participant's gross income for federal and state income tax purposes and are includable in the gross income of the participant or the participant's beneficiaries only in the taxable year in which they are distributed.

D. Each employer shall annually make a contribution equal to the following percentages of each participant's gross pensionable compensation:

1. For a participant as defined in section 38-865, paragraph 7, subdivision (a), item (ii), three percent.

2. For a participant as defined in section 38-865, paragraph 7, subdivision (a), item (i), nine percent.

3. For a participant as defined in section 38-865, paragraph 7, subdivision (b), five and one-half percent.

E. The pro rata share of the amount paid in subsection D of this section shall be paid on each date that a participant contribution is made and shall be credited to the participant's annuity account.

F. Each participant as defined in section 38-865, paragraph 7, subdivision (a), item (i) and subdivision (b) and each employer shall contribute:

1. To the public safety personnel defined contribution retirement plan disability program established by article 4.2 of this chapter.

2. For participants who make an election pursuant to section 38-869, an equal amount for the group health benefits plan payments as specified in section 38-869 as determined by actuarial valuations reported by the board to the employer and local board, which shall be deposited in a separate account established pursuant to section 38-869.

G. A participant's contributions and earnings on those contributions are immediately vested.

H. A participant as defined in section 38-865, paragraph 7, subdivision (a) or section 38-865.01 is fully vested in the defined contribution plan after ten years of service, with employer contributions vesting at a rate of ten percent per year. If a participant described in this subsection dies or is determined to be eligible for an accidental or catastrophic disability pension pursuant to section 38-844 before completing ten years of service, the employer contributions are immediately fully vested.

I. A participant as defined in section 38-865, paragraph 7, subdivision (b) is fully vested in the defined contribution plan after three years of service, with the employer contributions vesting at the following rates:

1. Twenty-five percent after the first year of service.

2. Fifty percent after the second year of service.

3. One hundred percent after the third year of service.

J. If a participant as defined in section 38-865, paragraph 7, subdivision (b) dies or is determined to be eligible for an accidental or total and permanent disability pension pursuant to section 38-886 before completing three years of service, the employer contributions are immediately fully vested.

K. IN ADDITION TO ANY EMPLOYER CONTRIBUTION REQUIRED PURSUANT TO THIS SECTION, AN EMPLOYER OF A PARTICIPANT AS DEFINED IN SECTION 38-865, PARAGRAPH 7, SUBDIVISION (b) MAY MAKE A SUPPLEMENTAL CONTRIBUTION INCENTIVE PAYMENT TO THE PARTICIPANT'S DEFINED CONTRIBUTION PLAN ACCOUNT IF THE SUPPLEMENTAL CONTRIBUTION MEETS ALL OF THE FOLLOWING:

1. DOES NOT EXCEED $5,000 PER PARTICIPANT PER [~~YEAR~~] [EMPLOYMENT OR SERVICE INTERVAL] AS DESCRIBED IN THIS SUBSECTION [WITH A FIVE-YEAR GRADED VESTING SCHEDULE].

2. IS MADE ONLY ON A SPECIFIED YEARS OF EMPLOYMENT OR YEARS OF SERVICE INTERVAL.

3. IS MADE EQUALLY AS AN AMOUNT OR AS A RATE OF PENSIONABLE COMPENSATION AT EACH INTERVAL AS SPECIFIED IN THIS SUBSECTION TO ALL PARTICIPANTS OF THE EMPLOYER AS DESCRIBED IN THIS SUBSECTION WHO MEET THE EMPLOYMENT OR SERVICE REQUIREMENT AND REQUIREMENTS OUTLINED BY THE EMPLOYER'S POLICY ADOPTED PURSUANT TO SUBSECTION M OF THIS SECTION.

4. DOES NOT REQUIRE THE PARTICIPANT AS DESCRIBED IN THIS SUBSECTION TO MAKE ANY ADDITIONAL MONETARY CONTRIBUTION TO RECEIVE THE EMPLOYER'S SUPPLEMENTAL CONTRIBUTION.

L. A SUPPLEMENTAL CONTRIBUTION MADE PURSUANT TO SUBSECTION K OF THIS SECTION DOES NOT AFFECT ANY OTHER EMPLOYER OR ANY OTHER PARTICIPANT WHO IS EMPLOYED BY THE EMPLOYER THAT MADE THE SUPPLEMENTAL CONTRIBUTION. AN EMPLOYER WHO MAKES A SUPPLEMENTAL CONTRIBUTION PURSUANT TO SUBSECTION K OF THIS SECTION IS NOT OBLIGATED TO MAKE ADDITIONAL SUPPLEMENTAL CONTRIBUTIONS TO A PARTICIPANT AS DESCRIBED IN SUBSECTION K OF THIS SECTION WHO HAS RECEIVED A PREVIOUS SUPPLEMENTAL CONTRIBUTION. AN EMPLOYER MAY DISCONTINUE SUPPLEMENTAL CONTRIBUTION INCENTIVE PAYMENTS PURSUANT TO SUBSECTION K OF THIS SECTION AT ANY TIME.

M. BEFORE IMPLEMENTING A SUPPLEMENTAL CONTRIBUTION INCENTIVE PAYMENT UNDER SUBSECTION K OF THIS SECTION, EACH EMPLOYER SHALL ADOPT A POLICY THAT DETAILS THE REQUIREMENTS AND AMOUNTS OF THE SUPPLEMENTAL CONTRIBUTION INCENTIVE PAYMENTS OUTLINED IN SUBSECTION K OF THIS SECTION.

Enroll and engross to conform
Amend title to conform

DAVID LIVINGSTON

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